AN ANALYSIS OF INDIA'S EXPORT PERFORMANCE (1960-2025)

AN ACADEMIC PROJECT

Submitted in partial fulfilment of the requirements of the degree of

Bachelor of Arts in Economics
In

Submitted By

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Certificate by supervisors and TIC

An analysis of India's export performance (1960-2025)

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1. Introduction

From traditional to international dimensions, India's exports have evolved over time, with innovation gradually increasing. Since ancient times, India has been a major centre of trade.

Earlier India used to export mainly spices, silk, cotton textiles, and handicrafts, which were exported to Europe, Central Asia and East Asia due to India's natural resources and handicrafts.

However, during the colonial period the export scenario of India and the policies were restricted. Even if the exports were doing a little good it would go in the favour of Britishers. Industrial growth was nowhere near to be seen in this era limiting export diversification, weakening the country's manufacturing base.

After the economic liberalisation in 1990s, there could be seen a drastic change in the export of India, in this there was low import tariffs, more focus on unregulated or unorganised industries, also opened up the economy to global investment and gradually from an inward looking scenario it started moving towards global competitiveness. One of the main changes that could be seen was export diversification, especially with information technology and IT-enabled services.

Moreover, evolution of India's export performance should not only be attributed to domestic policy changes but also to globalisation and integration into international markets. As India joined global trade networks more deeply, its export's growth got closely linked to worldwide demand conditions, financial flows, supply chain dynamics. Although now India was able to have global competitiveness boosting the economy but gradually because of this India was becoming more sensitive to global shock or crises.

1.1 The study seeks to address the following research questions:

- How has India's export performance measured as a percentage of GDP evolved over the last decade?
- How have major global economic crises affected the status of India's export growth over time?
- What kind of pattern could be noticed from this long-term pattern?
- Concerning imbalance between service export and merchandise export .
- If India is growing in export then why its share in World’S Share isn’t growing ?Why its below 2% since independence.

2. Review of Literature

Impact of Global Crises

This review on international trade suggests that export performance in India has been very sensitive towards global shocks such as oil price crises, global rising that occurred in 2008 in U.S, and 2020 pandemic.

First, the Global Shock — Oil Crises 1973. According to the World Bank's Global Economic Prospects reports, due to this global crises the demand for other commodities also gets affected resulting in low deduction in export.

According to the Analysis by the office of the historian, the 1973 oil crisis constituted a major external shock. OPEC sharply raised oil prices and cut production, which caused global energy costs to get higher. India relied heavily on imported oil, so the sudden price increase drastically raised import costs, straining foreign exchange reserves. Higher cost made Indian goods too expensive for the countries, so export didn't grow much; this slowed export growth compared to India GDP not because India spent less on export but because it became more harder and more expensive to export.

The global financial crisis of 2008–2009, which began with the collapse of the U.S. subprime mortgage market, is often seen as a major shock that disrupted trade and economic growth worldwide. According to reports from the International Monetary Fund (IMF) and the World Bank, this crisis caused banking failures.

This shock impacted the export based industries as shown in reports such as Economic Survey of India and Reserve Bank of India's publications. As per these reports this mainly affected the IT sector, jewellery, textiles and many more as mainly the buyers used to be US and Europeans. On large scale, the foreign investors withdrew their investments from Indian markets which led to a stock market shutdown.

Also with this, an analysis came out which said that deduction in export is not internal problems but the main cause was external shocks such as the sudden decrease in global demand and the instability of financial markets. This serves us with the thought how sensitive at times our markets can be dependent upon global markets.

One such trajectory is the COVID-19 outbreak in 2020, which caused a dramatic drop in world trade. Research has shown that exports from India shrank by about 16.3 per cent in 2020 as a direct result of worldwide lockdowns, disruptions in supply chains, and plummeting international demand. It also points out on industries that still managed to grow such as the pharmaceutical and medication services.

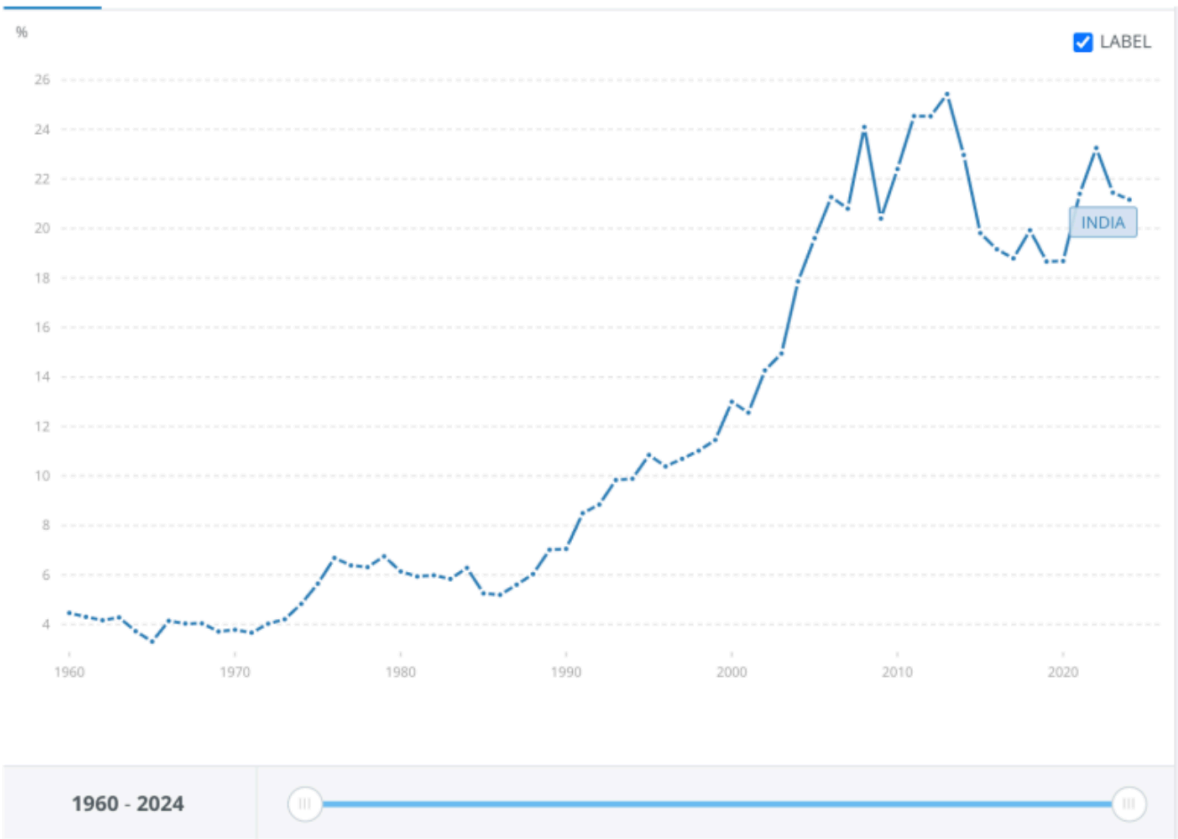
There was massive drop in exports in India: earlier the year 2019 it was 530 billion and in 2020 it was 445 billion.

3. Analysis of India's Exports (1960-2025)

According to World Bank Data, the world's export is growing at 2.5%, whereas India's export is growing at 7.1% (2024) outpacing global growth, and indicating the progress of the country on the international front. The share of exports in Indian GDP has increased from 19.8% in 2015 to 21.2% in 2024.

To move beyond a descriptive understanding of India's export evolution, it is essential to examine how exports have contributed to economic growth over time. Analysing exports as a percentage of GDP allows for a clearer assessment of India's changing integration with the global economy and the impact of major policy shifts. The following data on India's export growth as a percentage of GDP (1960-2014) has been sourced from the World Bank Group.

GRAPH 3.1.1



GRAPH 3.1.1

1950–1960

During the 1950s, India's export remains largely stagnant relative to GDP reflecting the dominance of import substitution, industrialisation and strict trade controls. The government's policy of regulating imports through licensing, high tariffs and quantitative restrictions effectively shielded domestic industries from foreign competition but it also constrained access to modern machinery, technology and high quality imports. While lower tariffs on capital goods and essential materials were intended to support industrial growth, the selective protection could not overcome product technology and productivity limitations. As a result, industrial output remained inefficient and the export structure continued to rely on primary agricultural commodities with minimal contribution from manufactured goods. The combination of inward looking policies and limited industrial sophistication kept India's integration with the global economy limited, keeping the country largely isolated from international trade networks during this period.

The 1973 oil crisis had a severe impact on India as petroleum imports surged dramatically. In response, the government focused on energy security, seeking ways to reduce dependence on foreign oil by promoting domestic energy resources. However, these efforts were largely unsuccessful and India's export base remained narrow and heavily reliant on raw materials and agricultural products. This lack of export diversity contributed to a widening trade deficit. At the same time, imports — especially capital goods and oil — continued to rise to support industrialisation but without corresponding liberalisation of trade policies. This heavy dependence on imports put intense pressure on India's foreign exchange reserves, leading to a foreign exchange crisis. In reaction, the government introduced measures to conserve foreign exchange by restricting non-essential imports and emphasising the need to boost export earnings to stabilise the economy.

1970s

During the 1970s, India's exports remained largely stagnant relative to GDP, reflecting the continued commitment to self-reliance and state-led industrialisation amid a highly protectionist trade regime. The government intensified import controls, restrictive licensing and emphasis on domestic industry, which insulated local producers but limited access to modern technology and inputs, constraining industrial efficiency and export diversification. External shocks such as the 1973 oil crisis exacerbated these challenges by sharply increasing petroleum import costs, leading to mounting trade deficits and pressure on foreign exchange reserves. Efforts to promote domestic energy production had limited success. The lack of export diversification left India heavily reliant on raw materials and agricultural commodities. Consequently, India's trade policies combined with global price shocks deepened its inward-looking economic stance during this decade.

1980s

During the 1980s, India's exports began to show modest growth relative to GDP, reflecting the initial shift towards trade liberalisation and export-oriented policies under Prime Minister Rajiv Gandhi. The government's gradual opening of the economy — through measures such as allowing limited rupee depreciation, establishing export processing zones and promoting manufactured goods like clothing, garments and engineering products — marked a departure from the heavy protectionist, inward-looking policies of earlier decades. Institutions such as the Engineering Export Promotion Council and Development Commissioner for Handicrafts institutionalised support for export-oriented industries, enhancing competitiveness and private sector participation in foreign trade. Although the reforms were partial and incremental, they signalled a strategic pivot towards integrating with the global market, laying the groundwork for the more comprehensive liberalisation of the 1990s. Nonetheless, export diversification remained limited as India's manufactured exports were still concentrated in a few sectors.

1990s

During the early 1990s, India's exports began to increase as a proportion of GDP, following the balance of payments crisis and the shift towards economic liberalisation, which caused dismantling of the import licensing system, reduction of import duties, and introduction of export incentives. The 1992 Export-Import Policy reflected a clear move from a protectionist, inward-looking regime to a market-oriented, export-driven strategy. These reforms resulted in diversification, moving from traditional aspects towards more international dimensions. This decade also shows how India was moving towards exporting manufactured goods. As a result, exports improved gradually, with the economy increasingly connected to international markets.

2000s

During 2000–2010, India's export growth more than doubled, rising from about 8.9% to 20.9%. This shows exports became a much bigger part of India's growth during this decade. Two main factors contributed to this sharp increase after 2003–2004: higher global demand and the gradual impact of post-1991 economic reforms. These reforms improved trade facilitation, increased competitiveness, and raised efficiency across different sectors. Even after the 2008–2009 global financial crisis, exports recovered quickly by 2009–2010, which proves the sector could recover fast. This recovery was supported by a broader export base and the growth of high-value sectors like pharmaceuticals and IT services. So, the export rise in the 2000s was not only because global demand improved, but also because India's reforms and stronger industries played a major role.

2010–2020

During 2010–2020, exports continued to grow in absolute terms, but export growth relative to GDP slowed down and became more unstable compared to the strong expansion seen in the 2000s. In the early years of the decade, the export-to-GDP ratio was around 22–24%, but it started declining in the mid-2010s and remained mostly between 18% and 20% towards the later years. One major reason for this slowdown was weaker global demand along with changes in international commodity prices, which affected overall trade performance. By the end of the decade (around 2019–2020), exports were around USD 526 billion, but their share in GDP declined to about 18.4%, showing a reduced contribution to the economy compared to the 2000s.

2020–2025

From 2020 to 2025, India's exports increased in value, but the export-to-GDP trend remained uneven. The start of this period was strongly affected by the COVID-19 pandemic, which caused a sharp contraction in global trade, lowered demand, and disrupted international supply chains. After the initial shock, exports gradually recovered, but export performance stayed sensitive to global conditions. Throughout this period, the export-to-GDP ratio remained mostly between 18% and 20%, which shows that India's export integration did not return to the high-growth levels seen in the 2000s. By the later years of this period, exports again reached levels of around USD 526 billion, but their overall contribution to GDP still remained limited. This indicates that, even though export value increased, external uncertainty and domestic structural challenges continued to affect sustained export-led growth.

4. Research Methodology

4.1 Decadal Analysis of India's Export over the last 6 Decades

Table 4.1.1: Decadal Analysis of India's Export over the last 6 Decades

Year	Average of decade's export ratio to GDP
1950–1960	
1960–1970	2.14%
1970–1980	10.57%
1980–1990	4.81%
1990–2000	11.97%
2000–2010	14.26%
2010–2020	6.38%

Table 4.1.2: Interpretation of the Data

Decade	Trend	Explanation	Implication
1960s	Low and stagnant exports	Import substitution, licensing	Limited global integration
1970s	Continued stagnation	Protectionism, Oil shocks	External shocks
1980s	Modest growth	Partial liberalisation	Gradual Shift towards global integration
1990s	Clear upward shift	Liberalisation, deregulation	Integration
2000s	Rapid rise	Globalisation, financial crises	Deeper integration, volatility

4.1 Types of Research

This study follows a descriptive analytical research approach. It examines long-term trends in India's export performance measured as a percentage of GDP and is based on secondary data. The study does not involve manipulation of variables but focuses on describing and analysing historical patterns, policy issues and the impact of global economic shocks on exports over time.

4.2 Research Design

A descriptive–analytical research design has been adopted to analyse decade-wise changes in India's export-to-GDP ratio. The research employs trend analysis as well as export-to-GDP ratio averaged over a decade as tools to explore how export performance changed during different economic cycles and to associate these changes with significant policy reforms and global events. The study is facilitated by graphs and tables which provide a visual basis for the comparison and interpretation of data.

4.3 Sample and Sample Size

Since the study is based on secondary data, the sample consists of published statistical data and reports. Data on exports and GDP have been collected from the World Bank database and supported by government publications and academic studies related to India's trade and economic policies. These sources provide reliable and sufficient data for long-term analysis.

5.EXPORT COMPOSITION-Sector-wise Analysis

Understanding which sectors are driving and dragging merchandise exports is essential for policy design. The table below presents a detailed comparison of sector-wise merchandise export performance between December 2024 and December 2025.4.1 Key Observations from Export Composition

Category / Sector	Dec 2024 ($ B)	Dec 2025 ($ B)	YoY Change
Engineering Goods	10.8	11.0	▲ +1.9%
Petroleum Products	4.7	4.4	▼ −6.4%
Electronic Goods	3.6	4.2	▲ +16.7% (strong growth)
Drugs & Pharmaceuticals	2.5	Studied export composition (petroleum, engineering goods, chemicals)	▲ +4.0%
Gems & Jewellery	2.1	2.1	→ Flat
Organic & Inorg. Chemicals	2.4	2.5	▲ +4.2%
RMG of all Textiles	1.5	1.5	→ Flat
Rice	1.4	1.0	▼ −28.6% (major drop)
Marine Products	0.7	0.8	▲ +14.3%
Plastic & Linoleum Products	0.8	0.7	▼ −12.5%
Total Merchandise Exports	—	$38.5 B	Overall stable

5.1 Key Observations from Export Composition

Sectors with Positive Momentum:

- Engineering Goods (largest category): Rose from $10.8B to $11.0B, confirming continued dominance. This sector benefits from India's capital goods manufacturing base and strong demand from the USA, Europe, and Africa.
- Electronic Goods (fastest growing): Jumped from $3.6B to $4.2B, a robust 16.7% growth — the standout performer. Production Linked Incentive (PLI) schemes for electronics are beginning to show results, with Apple and Samsung expanding India-based production.
- Drugs & Pharmaceuticals: Rose modestly from $2.5B to $2.6B. India's status as the 'pharmacy of the world' remains intact, with generic drugs driving volume exports globally.
- Organic & Inorganic Chemicals: Marginal increase from $2.4B to $2.5B, reflecting steady global demand for Indian chemical intermediates.

Sectors Facing Headwinds:

- Rice (most significant decline): Fell sharply from $1.4B to $1.0B — a nearly 30% drop — primarily due to the Government of India's export restrictions on non-basmati white rice to control domestic food prices. While justified domestically, this reflects the tension between food security and export competitiveness.
- Petroleum Products: Declined from $4.7B to $4.4B (−6.4%), reflecting falling global crude prices and reduced refinery margins. India's refined petroleum exports are sensitive to global oil price cycles.
- Cotton and Plastic Products: Both declined modestly (4% and 12% respectively), reflecting supply chain pressures and weakening global demand.

The total merchandise export figure of $38.5 billion remains broadly stable but masks internal compositional shifts — a transition away from commodity-driven exports toward higher-value manufactured goods, particularly electronics.

6. Why India Lags in Merchandise Exports

6.1 Structural Constraints

- Logistics and Infrastructure Gaps: India's logistics cost as a share of GDP (~13–14%) is significantly higher than developed economies (~8%). Poor last-mile connectivity, port congestion, and inadequate cold-chain infrastructure raise export costs.
- Regulatory Complexity and Compliance Burden: India has over 26,134 compliance requirements, many of which carry criminal penalties. This 'red tape' creates barriers for MSMEs — the backbone of manufacturing exports — who lack dedicated compliance teams.
- Weak Global Value Chain Integration: India participates only peripherally in global production networks. Unlike China or Vietnam, Indian firms are rarely embedded as sub-assembly or component suppliers in major multinational supply chains for electronics, automobiles, or precision instruments.
- Underdeveloped Manufacturing Ecosystem: Competitors like Vietnam and China have built dense clusters of supplier industries, export processing zones, and skilled labour pools specifically calibrated to high-volume export manufacturing.

6.2 Why Services Cannot Replace Manufacturing

A common counter-argument is that India's booming service exports can compensate for weak goods exports. This study argues that services cannot fully substitute for a robust manufacturing export base, for the following reasons:

- Skills and Employment Inclusivity: Services (especially IT and finance) require years of formal education and urban-centric skills. Manufacturing, by contrast, can absorb semi-skilled workers from rural backgrounds at a much faster scale. With 47% of India's workforce in agriculture, manufacturing offers the most viable pathway to mass employment transition.
- Employment Distribution: Services export workers are concentrated in urban centres and represent roughly 26% of the workforce. A services-first export strategy inherently leaves the majority of India's working population behind.
- Infrastructure Multiplier Effect: Manufacturing requires — and thereby incentivises — investment in physical infrastructure: roads, ports, power, water. Service exports, while valuable, do not generate the

7. Comparative Case Study: India vs. Vietnam

Vietnam offers one of the most instructive case studies in export-led development for a low-to-middle income economy. In less than three decades, Vietnam transformed from a primarily agrarian economy into one of Asia's most export-competitive nations. A detailed comparison highlights where India is falling short.

Comparative Overview Table

Factor	India	Vietnam
Export Strategy	Service-led growth	Manufacturing-led exports
Global Supply Chains	Weak integration	Strong integration (China+1 strategy)
Trade Agreements	Limited FTAs	16+ FTAs, wider market access
Manufacturing Base	Underdeveloped	Strong (electronics, textiles)
FDI Inflows	Moderate	High (global firms shifting operations)
Exports to GDP Ratio	~21%	~80% (export-driven economy)
Key Partners	USA, UAE, China	USA, China, South Korea, Japar

6.2 Vietnam's Export Strategy — Key Success Factors

(a) Manufacturing-Led, FDI-Driven Growth

Vietnam pursued a deliberate strategy of attracting foreign direct investment into labour-intensive and technology-intensive manufacturing. Global firms — particularly Samsung (which produces a major share of its smartphones in Vietnam) and Apple's supplier network — chose Vietnam as a preferred relocation destination from China, capitalising on the 'China+1' diversification strategy.

In contrast, India receives moderate FDI inflows that remain concentrated in services, retail, and infrastructure — not in the export manufacturing sectors where Vietnam has built dominance.

Aggressive Free Trade Agreement Architecture

- Vietnam joined the World Trade Organisation in 2007 and quickly built a network of 16 active Free Trade Agreements.
- The Regional Comprehensive Economic Partnership (RCEP) integrated Vietnam into the Asia-Pacific production network.
- The EU–Vietnam Free Trade Agreement (EVFTA) granted preferential access to Europe's 450 million consumers.

- The UK–Vietnam FTA further expanded market reach post-Brexit.
- Additionally, Vietnam has over 80 Double Tax Avoidance Agreements, reducing the tax burden on international investors.

India, by comparison, has fewer active FTAs and has historically been cautious about trade liberalisation — partly to protect domestic industries. While negotiations are ongoing with the USA, EU, Chile, Peru, and New Zealand, the pace has been slower than Vietnam's aggressive FTA strategy.

(c) Exports-to-GDP Ratio: The Fundamental Difference

The most telling statistic in the India–Vietnam comparison is the exports-to-GDP ratio. Vietnam's exports account for approximately 80% of its GDP, making it a deeply export-oriented, globally integrated economy. India's merchandise exports represent only about 21% of GDP — reflecting a far more domestically focused economic structure.

This gap is not merely a statistical difference — it reflects fundamentally different development strategies. Vietnam has leveraged export markets as the primary engine of growth, job creation, and technology transfer. India has relied more on domestic consumption, with exports playing a supporting rather than leading role.

(d) Labour Market Flexibility

Vietnam's labour market offers greater flexibility for hiring and retrenchment compared to India's labour laws. While India's recent Labour Codes (2019–2020) represent reform efforts, implementation has been uneven and state-level compliance varies significantly. Vietnam's agility in labour deployment has made it more attractive for large-scale contract manufacturing.

Conclusion

This study examined India's export performance as a proportion to GDP from the year 1960-2020 and also focuses on how changes in global economy affected India's export. Strict regulations, although they were made by the government to protect the economy, resulted in a closed economy which further made it an isolated market. Also, because of this India somehow was backward in economy as compared to other countries.

Global shocks such as the Oil Crisis 1973, the 2008 financial crisis resulted in slow growth in India. Although during the COVID-19 pandemic it went through downward changes, it still recovered quickly.

The exports which are led by India are crude oil petroleum, refined petroleum and jewellery. As India is working on trade, helping industries compete better, it is not only focusing on sustaining but also accelerating its exports in upcoming years.

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